

Chapter 14

Stock Selection for the Defensive Investor

It is time to turn to some broader applications of the techniques of security analysis. Since we have already described in general terms the investment policies recommended for our two categories of investors,^{*} it would be logical for us now to indicate how security analysis comes into play in order to implement these policies. The defensive investor who follows our suggestions will purchase only high-grade bonds plus a diversified list of leading common stocks. He is to make sure that the price at which he bought the latter is not unduly high as judged by applicable standards.

In setting up this diversified list he has a choice of two approaches, the DJIA-type of portfolio and the quantitatively-tested portfolio. In the first he acquires a true cross-section sample of the leading issues, which will include both some favored growth companies, whose shares sell at especially high multipliers, and also less popular and less expensive enterprises. This could be done, most simply perhaps, by buying the same amounts of all thirty of the issues in the DowJones Industrial Average (DJIA). Ten shares of each, at the 900 level for the average, would cost an aggregate of about \$16,000.¹ On the basis of the past record he might expect approximately the same future results by buying shares of several representative investment funds.[†]

His second choice would be to apply a set of standards to each purchase, to make sure that he obtains (1) a minimum of *quality* in the past performance and current financial position of the company, and also (2) a